Cardiff City Football Club Limited

Annual Report and Financial Statements

Year Ended

31 May 2022

Company Number 00109065

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COMPANIES HOUSE

Cardiff City Football Club Limited

Company Information

Directors	S Borley D M R M Caramella D C S Chin V K Choo M Dalman
Registered number	00109065
Registered office	Cardiff City Stadium Leckwith Road Cardiff CF11 8AZ
Independent auditor	BDO LLP Statutory Auditor 55 Baker Street London W1U 7EU
Banker	Barclays Bank plc PO Box 1015 3rd Floor Windsor Court 3 Windsor Place Cardiff CF10 3ZL

Cardiff City Football Club Limited

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Cardiff City Football Club Limited

Non-Executive Chairman's Statement
For the Year Ended 31 May 2022

Non-Executive Chairman's statement

Season 2021/22

The start of season 2021/22 coincided with the removal of the pandemic restrictions and the ending of matches behind closed doors and the return of spectators from the first game of the season.

Despite the return of restrictions in December 2021 and January 2022 which resulted in two of our home games being played behind closed doors the remainder of the season returned to normal match day activities.

While the return to pre pandemic match day activity levels was slow throughout 2021/22 we hope that this return to normality is here to stay for future seasons and that the debilitating effect of the pandemic is now in the past

On the playing side while the new season started positively, performance and results soon became disappointing with the Club moving further down the league table and flirting with being dragged into a relegation battle.

The Club retained confidence in Mick McCarthy and his support team for as long as possible but ultimately as the slide down the table continued the club made the decision to part company with Mick McCarthy and his team

The Club moved quickly to promote Steve Morrison to 1st team manager supported by Tom Ramasut and the recruitment of Mark Hudson to complete the management team and spearhead our fight for survival and our climb away from the relegation places.

While the climb away from the relegation places was slow, we achieved our immediate aim and secured our Championship status .

At the same time as striving to achieve our Championship status, we were planning for Season 2022/23 and the transformation in our 1st team squad with 11 members of our playing squad coming to the end of their playing contracts on 30th June 2022.

Season 2022/23

As noted above the immediate challenge faced by the Club was the complete overhaul of our 1st team squad with 11 players exiting the Club on the 30th of June following the expiry of their contracts.

At the completion of the summer 2022 transfer window, we had successfully recruited 14 players on permanent contracts and brought in 3 players on season long loans.

This together with new contracts being signed by ex-Academy players who have now become integral members of our 1st team squad has completely changed the shape of our 1st team squad and brought the average age of the squad down to 24 yrs. compared with an equivalent average age for season 21/22 of 26 years.

It was accepted that it would take time to integrate such a fundamental change in the makeup of the 1st team squad and then promote and develop a new style of play vastly different from that of the previous 5 or 6 years and that results were likely to be variable.

However, even after allowing for the above, results over the initial months of the season were disappointing.

Following a review with the Clubs majority shareholder of the Club's position on and off the pitch the decision was taken to terminate the contract of Steve Morrison as 1st Team manager and to promote Mark Hudson to interim manager who was subsequently confirmed as being in place until the end of season 22/23.

Unfortunately, despite this change in management results continued to be disappointing with the Club still languishing towards the bottom of the Championship table and the spectre of relegation becoming more and more possible.

Non-Executive Chairman's statement (continued)

Season 2022/23 (continued)

Therefore, to protect the short term position and longer term ambitions of the Club Mark Hudson's contract was terminated on the 14th January 2023.

The Club and the majority shareholder would like to place on record their appreciation of the role played by Steve in guiding us away from the spectre of relegation in Season 21/22 and overseeing the overhaul of the 1st team during the Summer 22 transfer window and thank Mark for his service to the Club as player, captain and manager.

We wish them both all the best in their future careers.

Following discussions with the majority shareholder and a period of consideration and reflection as to what was in the best interests of the Club both for the immediate challenge to pull away from the threat of relegation and for the longer term on the 27th January 2023 Sabri Lamouchi was appointed as First Team Manager with Sol Bamba returning to the Club as part of Sabri's coaching staff.

Sabri, Sol and the existing coaching team with an extensive array of managerial experience in Sabri backed by a young, and energetic coaching staff are now in place to lead us forward over the remaining months of the season.

We are continuing to build the infrastructure of the Club to ensure that we achieve our aim of promotion back to the Premier League and then we must ensure that we retain our status for the foreseeable future and break away from the viscous cycle of promotion and relegation.

To that end two projects are currently underway in building that infrastructure.

Firstly, the development of a new Academy training complex in the east of Cardiff which is expected to come in stream for the start of the 2023/24 season. This will build on the success of the last couple of years of players graduating from the Academy to become integral members of the 1st team.

Secondly, the construction of a new 1st team training base a short distance from our current base but one that will be wholly and exclusively for the use of the Club. While this is in the preliminary stages and negotiation for an 150 lease over the proposed new training base , current forecasts are that this will become operational in time for the 25/26 season.

These two projects are integral to the ongoing investment in the Club's infrastructure and developments to secure the future of the Club.

The dispute with Nantes around the transfer of Emiliano Sala is ongoing and has progressed over the last year. Following the ruling by Court of Arbitration for Sport (CAS) in August 2022 and the subsequent imposition of the transfer embargo by FIFA and the EFL the Club has now paid the 1st instalment of the transfer fee of Euro7m and the transfer embargo was subsequently lifted which at least allowed the Club to trade during the recent transfer window.

Our ability to trade however was restricted in that we were not allowed by the EFL to pay any transfer or compensation fees and were therefore restricted to bringing in loan players or players who were out of contract.

Discussions with the EFL are continuing around the legality of that ruling and the imposition of EFL rule 52.6 and whether it is fair and proportionate.

We are currently awaiting on a ruling from the Swiss Federal Court (SFC) in respect of our appeal against the CAS ruling and that the ruling should be referred back to CAS for re-adjudication. The outcome of this ruling will determine the next steps that we as a board will take over the matter of the remaining transfer fee and action(s) against Nantes and their agents and our insurers at that time.

Non-Executive Chairman's Statement
For the Year Ended 31 May 2022

Non-Executive Chairman's statement (continued)

Season 2022/23 (continued)

As a Board we are determined to do what is in the best and long term interest of the Club to protect our position especially in a situation where as a Club we were the innocent party in the handling of the actual flight arrangements involving Emiliano.

The pressures created by the pandemic followed by the significant increase in our operational costs and supply chain issues and the massive increase in our energy costs caused by worldwide events and conflict within Europe continue to impact football finances and this has obviously meant that we have remained heavily reliant upon the continued financial support of our owner Tan Sri Dato' Seri Vincent Tan Chee Yioun throughout this period.

As a Board and a Club, we are extremely grateful for the continued support of our owner and without this the future of the Club would look much more precarious.

I must take this opportunity to thank every person at the Club for their unwavering commitment and support throughout these periods of turmoil and what has been an immensely challenging environment and period for all those involved.

This season which started full of optimism and hope has thrown up a number and variety of challenges- including the changes in the complexion of the 1st team squad , the run of poor results as the new playing style evolved, the changes in 1st team management -, has undoubtedly led to frustration and disappointment amongst you our fans.

However throughout it all your support and loyalty to the team out on the pitch has been undiminished and without question has been amazing to see and immensely appreciated by everyone at the Club.

We and the team do not take that support for granted and will do everything possible within our power to ensure that we continue to deserve that support for the remainder of this season as we face the challenges before us.

Thank you.



M Dalman
Non-Executive Chairman

Date 24 February 2023

Strategic Report
For the Year Ended 31 May 2022

Business review

	2022 £000	2021 £000
Turnover	**19,882**	55,109
Player salary costs	**22,213**	25,963
Profit on sale of player registrations	**4,225**	2,864

The board consider the key performance indicators for the Company to be turnover, result from player trading and player salary costs.

The results show decreased turnover from that reported in the prior year accounts directly as a result of the cessation of parachute receivables at the end of 2021.

The Company is reporting an operating loss for the year ended 31 May 2022 of £29,030,000 increased by £17,044,000 from the £11,986,000 reported loss for the prior year ended 31 May 2021.

While the Company has significant net liabilities, the principal indebtedness at the year end was to the parent company undertaking and the ultimate controlling shareholder.

Principal risks and uncertainties

The principal risks are associated with the performance of the team and the league in which the football club operates, as turnover and costs, particularly those from broadcasting and player costs respectively, vary substantially between the English Premier League and the Championship. The Company manages the impact of that risk through close control of its direct costs, relative to its forecast income.

Credit risk relates primarily to trade debtors from its commercial activities. The Company monitors credit risk closely and its exposure to rate risk is minimal given any borrowings are financed by ultimate owner loans.

Outlook

Our aim remains to regain our status in the English Premier League and maintain this for the foreseeable future.

Engagement with stakeholders

Section 172 of the Companies Act 2006 requires the club's board of directors to take into consideration the interests of stakeholders and other matters in their decision making. The club's board continues to ensure the interests of all employees, supporters, partners, local community and other stakeholders are always given the fullest of consideration, and as a club and charity we have a number of initiatives aimed at regularly engaging with each of these groups.

Summary of how the Board engages with our stakeholders

Stakeholder group	Why we engage	How we engage	What matters to the group
Shareholders	• The continued support of our shareholders is fundamental to the long- term success of the football club • To ensure our shareholders have a clear understanding of the Club's strategy, business model and culture and the competitive sporting field in which we operate • To create value for our shareholders by generating strong and sustainable results that translate into promoting the success of the football club out on the playing field	• Annual Report and Financial Statements • Company website	• Creating Long-term value by delivering success out on the playing field • Financial stability • Transparency • Ethics and sustainability
Employees	• Long-term success is predicated on the commitment of our workforce to the Club's values • To ensure that we are fostering an environment that our employees are happy to work in and that best supports their wellbeing • We believe CCFC is a great place to work and we can only deliver value to our shareholders and success to our fan base through the hard work and commitment and well-being of our employees	• Group Intranet • The Directors and senior management teams involvement with our employees on a regular basis with attendance at the CCFC stadium, the 1st team training ground and the Academy throughout the year on match and non-match days	• Fair employment • Fair pay and benefits • Diversity and inclusion • Training, development and career opportunities • Health and safety • Responsible use of personal data • Environment • Ethics and sustainability

Summary of how the Board engages with our stakeholders (continued)

Stakeholder group	Why we engage	How we engage	What matters to the group
Fan and supporter base	• To foster and build long-term lasting relationships with our loyal fan base directly and via the various supporter representation bodies including the Supporters Club and Supporters Trust	• Regular meetings and fan forums involving the Directors and Club representatives from across all areas of the Club throughout the football season.	• Pride that our fan base feels in the Club • Not to take that continued support for granted
	• To provide the best facilities, we can for our disabled supporters by offering a number of reasonable adjustments based on individual needs making the experience inclusive for all our supporters	• Has Disability Access Officer who is available to offer advice and support at any time before, during and after the match.	
Suppliers	• Our suppliers are fundamental to the delivery of the operational infrastructure that is crucial to ensuring the success of our performance on the playing field • Suppliers must demonstrate that they operate in accordance with recognised standards that uphold human rights and safety, prohibit modern slavery and promote sustainable sourcing	• Regular performance reviews of all key supply chain partners for total reliability in product delivery	• Fair trading and payment terms • Anti-bribery • Ethics and slavery • Environment and sustainable sourcing
Community and environment	• We aspire to be responsible members of our community • We are committed to minimising the impact of our business operations on the environment • The community and environment are also important to our workforce, fan base and shareholders	• CCFC is proactive in its corporate responsibility to the local and wider community in which we work • We work closely with the Cardiff City FC Community Foundation the official charity of CCFC, to support children, young people, and families in S. Wales to achieve their full potential and encourage employee involvement in the community projects and programmes	• Charitable donations and sponsorships • Support to the Cardiff City Football Club Community Foundation, our official charity • Energy usage • Recycling • Waste management

Key Board Decisions

During the year, the Board made key decisions that are considered to be in the interests of the overall success of the Company. These decisions have impacts on certain stakeholder groups that have, to the extent considered appropriate by the Board, been reflected in the decision making process.

During FY22, the Board focused on progressing with its normal business model and invested, where funds were available, in the playing squad and management team in order to promote the overall success of the Club. There were no specific decisions that the board consider appropriate for disclosure within this report that meet the definitions of S-172 key board decisions.

This report was approved by the board and signed on its behalf.

.....
V K Choo
Director

Date: 24 February 2023

Directors' Report
For the Year Ended 31 May 2022

The Directors present their report and the financial statements for the year ended 31 May 2022.

Principal activity

The principal activity of the Company is that of a professional football club incorporating the operation of a multi-use sports stadium.

Going concern

The Company meets its day-to-day working capital requirements through the use of operating cash flows and loans provided by the ultimate shareholder of the Company and other related parties.

The Company is the direct subsidiary of Cardiff City Football Club (Holdings) Limited.

The Company's business activities, together with the factors likely to affect its future development, performance and position are set out in the Directors' Report and the Strategic Report.

As at 31 May 2022, the Group reported net liabilities of £56m (2021: £36m).

The Group, and hence the Company, continue to rely principally on the ultimate shareholder as well as other loan holders for the provision of funding either as equity or loans, together with the non-recall of such loans.

In assessing the appropriateness of the going concern assumption, the Board has prepared detailed cash flow forecasts for the Company and the Group extending beyond 12 months from the date of approval of these financial statements. These forecasts show the need for additional funding to be raised, after the additional loans received post year end and the shareholder loan conversion detailed in Note 28. Therefore, the Group and the trading subsidiaries rely on the non-recall intergroup loans and further funding as necessary and so remain reliant on the on-going support of our ultimate shareholder.

The Board also acknowledges that the pressures created by the pandemic followed by the significant increase in our operational costs, supply chain issues and the massive increase in our energy costs caused by worldwide events and conflict within Europe continue to impact football finances and the economy in general. Projecting how long these exterior factors will remain is challenging and how the economy responds continue to have an impact on the Group's forecasts.

While the Group and the Company are monitoring the impact of these circumstances on our cost base and taking all the appropriate measures to reduce and mitigate its cost base the impact of the circumstances outlined above has been and will continue to prove challenging.

Policy on payment of creditors

The Company values its relationship with its many suppliers. As part of meeting its obligations under each purchase transaction. the Company's policy is to pay amounts due for settlement in accordance with the negotiated terms of trade.

Trade payables at 31 May 2022 represented 23 days of annual purchases (2021: 22). This figure excludes creditors in respect of player purchases, which are paid on the date when payment is contractually due.

Results and dividends

The loss for the year, after taxation, amounted to £30,419,000 (2021: £11,819,000).

No dividends were declared or paid during the year (2021: £Nil).

Directors

The Directors who served during the year were:

S Borley
D M R M Caramella
D C S Chin
V K Choo
M Dalman
A J A Rasheed (appointed 9 July 2021, resigned 31 March 2022)

Professional indemnity

The Company maintains Directors and Officers liability insurance, which gives appropriate cover against any legal action that may be brought against the Company's Directors.

Internal control and risk management

The Directors are responsible for the Company's system of internal financial control. Although no system of internal financial control can provide absolute assurance against material misstatement or loss, the Company's system is designed to provide reasonable assurance that problems are identified on a timely basis and dealt with appropriately.

In carrying out their responsibilities the Directors have put in place a framework of controls to ensure as far as possible that ongoing financial performance is monitored in a timely manner, that corrective action is taken and that risk is identified as early as practically possible, and they have reviewed the effectiveness of internal financial control.

The Board, subject to delegated authority, review capital investment, player transactions, additional borrowing facilities, guarantees and insurance arrangements.

A review of the business and summary of risks and uncertainties is included in the Strategic Report.

Future developments

A review of future developments has been covered in the Non-Executive Chairman's Report.

Streamlined Energy and Carbon Reporting

UK Greenhouse gas emissions and energy use data for the period 1 June 2021 to 31 May 2022	2021/22	2020/21
Energy consumption used to calculate emissions (kWh)	4,151,340	4,170,022
Energy consumption breakdown (kWh) – optional: • Gas • Electricity • Transport fuel	 1,148,931 3,002,409 -	 1,181,881 2,988,141 -
Scope 1 emissions in metric tonnes C02e Gas consumption Owned transport TOTAL SCOPE 1	 210.44 - 210.44	 216.47 - 216.47
Scope 2 emissions in metric tonnes C02e Purchased electricity	 637.50	 634.47
Scope 3 emissions in metric tonnes C02e Business travel in employee-owned vehicles	 -	 -
Total gross emissions in metric tonnes C02e	847.94	850.94
Intensity ratio Tonnes C02e - per full time employee (2022: 178)	4.76	4.62

Quantification and reporting methodology

We have followed the 2020 HM Government Environmental Reporting Guidelines. We have also used the GHG Reporting Protocol – Corporate Standard and have used the 2022 UK Government's Conversion Factors for Company Reporting.

Intensity measurement

The chosen intensity measurement ratio is total gross emissions in metric tonnes C02e per full time employee.

Measures taken to improve energy efficiency

We have taken the following measures to improve our energy efficiency:-

Continued from prior year

- Continued to implement a change programme where LED lighting has been installed throughout the Stadium; and
- Night security continue to perform a lock down programme where all lighting and air conditioning units are turned off and powered down.

Implemented

- Switch from petrol to electric mowers;
- Introduced the Sharing of Energy use Tracker and locally held information with resultant reduction in energy use; and
- Reduction in flights for first team away match travel.

Planned

- Ongoing - investigating the viability of installing electric vehicle charging points;
- Imminent - introduction of recycling bins (paper, cardboard and plastic);
- Installation of plumbed in water fountains to reduce single use plastic – planned for 2023/24;
- All department heads have been tasked with developing initiatives to reduce the Club's carbon footprint;
- Working with the EFL to meet the "Green Clubs Scheme" that will hopefully help to reduce the club's Carbon Footprint
- Other future initiatives will include the design of the facilities at the new Academy site; and
- Assessing the viability of installing solar panels at the stadium.

In conjunction with our Stadium catering partners, Levy UK, introducing our joint "climate promise roadmap" including initiatives around:

- E-crackers for guests to reduce waste;
- Flawsome canned drinks have been introduced in hospitality (Wonky fruit & vegetable drinks);
- Partnering with Fare Share Cymru to reduce food waste;
- Commitment to buy locally and seasonally;
- Sustainability project to look at phasing out of the use of single-use plastics; and
- Complete Stadium review of all areas in accordance with the carbon reduction roadmap to make improvements in areas such as packaging, disposable items, drinking water availability and recycling.

Disclosure of information to auditors

Each of the persons who are Directors at the time when this Directors' Report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Auditors

Under section 487(2) of the Companies Act 2006, BDO LLP will be deemed to have been reappointed as auditors 28 days after these financial statements were sent to members or 28 days after the latest date prescribed for filing the accounts with the registrar, whichever is earlier.

This report was approved by the board and signed on its behalf.

.....
V K Choo
Director

Date: 24 February 2023

Directors' Responsibilities Statement
For the Year Ended 31 May 2022

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under Company law, the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that year.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Financial statements are published on the Company's website in accordance with legislation in the United Kingdom governing the preparation and dissemination of financial statements, which may vary from legislation in other jurisdictions. The maintenance and integrity of the Company's website is the responsibility of the Directors. The Directors' responsibility also extends to the ongoing integrity of the financial statements contained therein.

Cardiff City Football Club Limited

Independent Auditors' Report to the Members of Cardiff City Football Club Limited

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 May 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Cardiff City Football Club Limited ("the Company") for the year ended 31 May 2022 which comprise the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty related to going concern

We draw attention to note 2.3 to the financial statements which describes how the ability of the Company to continue as a going concern is affected by ongoing losses. The club is funded by its principal shareholder and various forecast scenarios indicated that the Company will be required to secure additional funding that is not guaranteed. These events indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Our opinion is not modified in respect of this matter.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our Auditor's Report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Non-Executive Chairman's Statement, the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared are consistent with the financial statements; and

- the Non-Executive Chairman's Statement, the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Non-Executive Chairman's Statement, the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or

- the financial statements are not in agreement with the accounting records and returns; or

- certain disclosures of Directors' remuneration specified by law are not made; or

- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

We also considered potential financial or other pressures, opportunity and motivations for fraud. As part of this discussion we identified the internal controls established to mitigate risks related to fraud or non-compliance with laws and regulations and how management monitor these processes. Appropriate procedures included the review and testing of manual journals and key estimates and judgements made by management. We gained an understanding of the legal and regulatory framework applicable to the Company and the industry in which it operates, drawing on our broad sector experience, and considered the risk of acts by the Company that were contrary to these laws and regulations, including fraud.

We focused on laws and regulations that could give rise to a material misstatement in the financial statements, including, but not limited to, the Companies Act 2006, the Football Association Rules and Regulations, UK tax legislation and equivalent local laws and regulations.

We made enquiries of management with regards to compliance with the above laws and regulations and corroborated any necessary evidence to relevant information, for example, minutes of the Board of Directors meetings and correspondence between the Group or Parent Company and its solicitors. Our tests included agreeing the financial statements disclosures to underlying supporting documentation and enquiries with management.

We did not identify any key audit matters relating to irregularities, including fraud. As in all of our audits, we also addressed the risk of management override of internal controls including testing journals and evaluation whether there was evidence of bias by the Directors that represented a risk of material misstatement due to fraud.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' Report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Gareth M Jones
AF9571C5233D451...

Gareth M Jones (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, United Kingdom

Date: 28 February 2023

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

Cardiff City Football Club Limited

Statement of Comprehensive Income
For the Year Ended 31 May 2022

	Note	2022 £000	2021 £000
Turnover	4	**19,882**	55,109
Cost of sales		**(29,769)**	(36,774)
Gross (loss)/profit		**(9,887)**	18,335
Administrative expenses		**(19,501)**	(30,722)
Other operating income	5	**358**	401
Operating loss	6	**(29,030)**	(11,986)
Related party loan write-off		**500**	-
Profit on disposal of player registrations		**4,225**	2,864
Interest receivable and similar income	10	**1**	1
Interest payable and similar expenses	11	**(2,415)**	(1,886)
Provision against intergroup debt		**(3,700)**	-
Loss before tax		**(30,419)**	(11,007)
Tax on loss	12	**-**	-
Loss for the financial year		**(30,419)**	(11,007)
Other comprehensive income for the year			
Movement on deferred tax relating to revaluation of stadium		**-**	(812)
Other comprehensive loss for the year		**-**	(812)
Total comprehensive loss for the year		**(30,419)**	(11,819)

The notes on pages 21 to 45 form part of these financial statements.

All activities derive from continuing operations.

Cardiff City Football Club Limited

Registered number: 00109065

Statement of Financial Position
As at 31 May 2022

	Note		2022 £000		2021 £000
Fixed assets					
Intangible assets	13		**2,521**		10,507
Tangible fixed assets	14		**77,609**		79,981
			80,130		90,488
Current assets					
Stocks	15	**80**		216	
Debtors: amounts falling due after more than one year	16	**2,268**		537	
Debtors: amounts falling due within one year	16	**33,725**		15,155	
Bank and cash balances		**3,613**		1,765	
		39,686		17,673	
Current liabilities					
Creditors: amounts falling due within one year	17	**(263,472)**		(222,141)	
Net current liabilities			**(223,786)**		(204,468)
Total assets less current liabilities			**(143,656)**		(113,980)
Non-current liabilities					
Creditors: amounts falling due after more than one year	18		**(4,448)**		(3,871)
Provisions for liabilities					
Deferred tax	20	**(3,385)**		(3,385)	
Provisions	21	**(20,706)**		(20,540)	
			(24,091)		(23,925)
Net liabilities			**(172,195)**		(141,776)

Cardiff City Football Club Limited
Registered number: 00109065

Statement of Financial Position (continued)
As at 31 May 2022

	Note	2022 £000	2021 £000
Capital and reserves			
Called up share capital	22	**2,016**	2,016
Share premium account	23	**926**	926
Revaluation reserve	23	**49,432**	49,432
Profit and loss account	23	**(224,569)**	(194,150)
Total equity		**(172,195)**	(141,776)

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

.....
V K Choo
Director

Date: 24 February 2023

The notes on pages 21 to 45 form part of these financial statements.

Cardiff City Football Club Limited

Statement of Changes in Equity
For the Year Ended 31 May 2022

	Called up share capital	Share premium account	Revaluation reserve	Profit and loss account	Total equity
	£000	£000	£000	£000	£000
At 1 June 2020	2,016	926	50,244	(183,143)	(129,957)
Comprehensive expense for the year					
Loss for the year	-	-	-	(11,007)	(11,007)
Movement on deferred tax relating to revaluation of stadium	-	-	(812)	-	(812)
Total comprehensive expense for the year	-	-	(812)	(11,007)	(11,819)
At 1 June 2021	2,016	926	49,432	(194,150)	(141,776)
Comprehensive expense for the year					
Loss for the year	-	-	-	(30,419)	(30,419)
At 31 May 2022	2,016	926	49,432	(224,569)	(172,195)

The notes on pages 21 to 45 form part of these financial statements.

1. General information

The Company is a United Kingdom private company limited by shares. It is both incorporated and domiciled in England and Wales. The registered office address is Cardiff City Stadium, Leckwith Road, Cardiff, CF11 8AZ.

These financial statements are presented in Pounds Sterling (GBP), as that is the currency in which the majority of the Company's transactions are denominated. They comprise the financial statements of the Company for the year ended 31 May 2022 and are presented to the nearest thousand pound (£'000).

The Company has determined that GBP is its functional currency, as this is the currency of the economic environment in which the Company predominantly operates.

The principal activity of the Company during the year was that of a professional football club incorporating the operation of a multi-use sports stadium.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial Reporting Standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b) and 12.29A; and
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Cardiff City Football Club (Holdings) Limited as at 31 May 2022 and these financial statements may be obtained from https://find-and-update.company-information.service.gov.uk/company/04044254.

2. Accounting policies (continued)

2.3 Going concern

The Company meets its day-to-day working capital requirements through the use of operating cash flows and loans provided by the ultimate shareholder of the Company and other related parties.

The Company is the direct subsidiary of Cardiff City Football Club (Holdings) Limited.

The Company's business activities, together with the factors likely to affect its future development, performance and position are set out in the Directors' Report and the Strategic Report.

As at 31 May 2022, the Group reported net liabilities of £56m (2021: £36m).

The Group, and hence the Company, continue to rely principally on the ultimate shareholder as well as other loan holders for the provision of funding either as equity or loans, together with the non-recall of such loans.

In assessing the appropriateness of the going concern assumption, the Board has prepared detailed cash flow forecasts for the Company and the Group extending beyond 12 months from the date of approval of these financial statements. These forecasts show the need for additional funding to be raised, after the additional loans received post year end and the shareholder loan conversion detailed in Note 28. Therefore, the Group and the trading subsidiaries rely on the non-recall intergroup loans and further funding as necessary and so remain reliant on the on-going support of our ultimate shareholder.

The Board also acknowledges that the pressures created by the pandemic followed by the significant increase in our operational costs, supply chain issues and the massive increase in our energy costs caused by worldwide events and conflict within Europe continue to impact football finances and the economy in general. Projecting how long these exterior factors will remain is challenging and how the economy responds continue to have an impact on the Group's forecasts.

While the Group and the Company are monitoring the impact of these circumstances on our cost base and taking all the appropriate measures to reduce and mitigate its cost base the impact of the circumstances outlined above has been and will continue to prove challenging.

The directors of Cardiff City Football Club (Holdings) Limited have received a non-legally binding confirmation that this support will be forthcoming for not less than 12 months from the date of approval of these financial statements and therefore have concluded that it is appropriate to prepare the financial statements on a going concern basis.

As far as equity fundraising and support from the ultimate shareholder is not legally binding, the directors have identified a material uncertainty that may cast significant doubt over the Company's and the Group's ability to continue as a going concern and therefore that it may be unable to realise its assets and discharge its liabilities in the normal course of business. These financial statements do not contain any adjustment that may arise if they were not drawn up on a going concern basis.

2. Accounting policies (continued)

2.4 Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business, net of discounts, VAT and other sales-related tax.

Gate receipts, other match day revenue and prize money in respect of cup competitions are recognised as the games are played. Sponsorship and similar commercial income is recognised over the duration of the respective contracts where it is probable that the income will be received. The fixed element of broadcasting revenues is recognised over the duration of the football season, based on matches played, whilst facility fees received for live coverage or highlights are taken when earned. Merit awards in excess of the minimum receivable are accounted for only when known at the end of the football season.

Merchandising revenue is recognised when goods are delivered and title has passed.

2.5 Operating leases: the Company as lessee

Rentals paid under operating leases are charged to the Statement of Comprehensive Income on a straight-line basis over the lease term.

Benefits received and receivable as an incentive to sign an operating lease are recognised on a straight-line basis over the lease term, unless another systematic basis is representative of the time pattern of the lessee's benefit from the use of the leased asset.

2.6 Government grants

Grants are accounted under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to the Statement of Comprehensive Income at the same rate as the depreciation on the assets to which the grant relates. The deferred element of grants is included in creditors as deferred income.

Grants of a revenue nature are recognised in the Statement of Comprehensive Income in the same period as the related expenditure.

The Company recognises government grants related to the Coronavirus Job Retention Scheme as other income when the grant become receivable.

2.7 Interest income

Interest income is recognised in the Statement of Comprehensive Income using the effective interest method.

2.8 Finance costs

Finance costs of borrowings are recognised in the Statement of Comprehensive Income using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowing.

Any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost through the Statement of Comprehensive Income.

2. Accounting policies (continued)

2.9 Borrowing costs

All borrowing costs are recognised in the Statement of Comprehensive Income in the year in which they are incurred.

2.10 Pensions

Defined contribution pension plan

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in the Statement of Comprehensive Income when they fall due. Amounts not paid are shown in accruals as a liability in the Statement of Financial Position. The assets of the plan are held separately from the Company in independently administered funds.

2.11 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is GBP.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss except when deferred in other comprehensive income as qualifying cash flow hedges.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the Statement of Comprehensive Income within 'finance income or costs'. All other foreign exchange gains and losses are presented in the Statement of Comprehensive Income within 'other operating income'.

2. Accounting policies (continued)

2.12 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

2.13 Player costs and transactions

(i) Initial capitalisation
The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring players.

(ii) Amortisation
These costs are fully amortised on a straight-line basis over their useful economic lives, being the period of the respective contracts. Where a contract life is renegotiated, the unamortised costs, together with the new costs relating to the contract extension, are amortised over the term of the new contract.

(iii) Contingent consideration
Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a number of certain number of First Team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer related costs not recognised at date of acquisition are accounted for when they become probable, which is typically when they are confirmed, and taken directly to the Statement of Comprehensive Income.

(iv) Impairment
The Company will perform an impairment review on the intangible assets if events or changes in circumstances give cause for a player to be taken out of the football club cash generating unit ("CGU") and that indicate that the carrying amount of the player may not be fully recoverable. The Company compares the carrying amount of the player's registration with its recoverable amount. Impairment losses are recognised in the Statement of Comprehensive Income during the period and are included within administrative expenses in the Statement of Comprehensive Income.

2. Accounting policies (continued)

2.13 Player costs and transactions (continued)

The Company considers the recoverable amounts of individual player registrations, being the higher of their fair value less costs to sell and their value in use. The Company estimates fair value less costs to sell using one of the following sources:

- in the case of a player who has permanently fallen out with the Company's senior football management and Directors, either the agreed selling price in the event that there is an agreement to transfer the player subsequent to the year end; or if there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Company's senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Company and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or

- in the case of a player who has suffered a career-threatening injury or condition, the value attributed to the player by the Company's insurers.

(v) Disposals
Profits or losses on the disposal of these player registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) Remuneration
Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player signing-on or loyalty fees are capitalised and then amortised over the term of the contract.

Discretionary bonuses, e.g. appearance fees, win/draw bonuses, are provided for, as part of operating expenses, when payment becomes probable or due contractually.

2.14 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. For tangible fixed assets held at fair value see note 2.15.

The Company adds to the carrying amount of an item of fixed assets the cost of replacing part of such an item when that cost is incurred, if the replacement part is expected to provide incremental future benefits to the Company. The carrying amount of the replaced part is derecognised. Repairs and maintenance are charged to the Statement of Comprehensive Income during the period in which they are incurred.

2. Accounting policies (continued)

2.14 Tangible fixed assets (continued)

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Cardiff City Stadium	- 2%
Training ground improvements	- 10%
Motor vehicles	- 25%
Fixtures and equipment	- 10-25%

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in the Statement of Comprehensive Income.

2.15 Revaluation of tangible fixed assets

Individual leasehold properties are carried at current year value at fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are undertaken with sufficient regularity to ensure the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

Fair values are determined from market based evidence normally undertaken by professionally qualified valuers.

Revaluation gains and losses are recognised in other comprehensive income unless losses exceed the previously recognised gains or reflect a clear consumption of economic benefits, in which case the excess losses are recognised in the Statement of Comprehensive Income.

2.16 Impairment of tangible fixed assets

Assets that are subject to depreciation or amortisation are assessed at each reporting date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit to which the asset has been allocated) is tested for impairment. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's (or CGU's) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGUs). Non-financial assets that have been previously impaired are reviewed at each reporting date to assess whether there is any indication that the impairment losses recognised in prior periods may no longer exist or may have decreased.

2. Accounting policies (continued)

2.17 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in the Statement of Comprehensive Income.

2.18 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.19 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2.20 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.21 Provisions for liabilities

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to profit or loss in the year that the Company becomes aware of the obligation, and are measured at the best estimate at the reporting date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

2.22 Financial instruments

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in ordinary shares.

2. Accounting policies (continued)

2.22 Financial instruments (continued)

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing transaction, like the payment of a trade debt deferred beyond normal business terms or in case of an out-right short-term loan that is not at market rate, the financial asset or liability is measured, initially at the present value of future cash flows discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost, unless it qualifies as a loan from a Director in the case of a small company, or a public benefit entity concessionary loan.

The proceeds received on issue of convertible debt are allocated into their liability and equity components and presented separately in the Statement of Financial Position. The amount initially attributed to the debt component equals the discounted cash flows using a market rate of interest that would be payable on a similar debt instrument that did not include an option to convert. The difference between the net proceeds of the convertible debt and the amount allocated to the debt component is credited direct to equity and is not subsequently remeasured. On conversion, the debt and equity elements are credited to share capital and share premium as appropriate. Transaction costs that relate to the issue of the instrument are allocated to the liability and equity components of the instrument in proportion to the allocation of proceeds.

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Statement of Comprehensive Income.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate of the recoverable amount, which is an approximation of the amount that the Company would receive for the asset if it were to be sold at the reporting date.

Financial assets and liabilities are offset and the net amount reported in the Statement of Financial Position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In preparing the financial statements, management is required to make estimates and assumptions which affect reported income, expenses, assets, liabilities and disclosure of contingent assets and liabilities. Use of available information and application of judgement are inherent in the formation of estimates, together with past experience and expectations of future events that are believed to be reasonable under the circumstances. Actual results in the future could differ from such estimates.

The Directors consider the following areas to involve considerable degree of estimation uncertainty:

Recoverable amount of non-current assets

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on-pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect the recoverable value of the asset.

Other key sources of estimation uncertainty:

The Cardiff City Stadium asset which is included within Tangible fixed assets at £76.7m (2021 - £78.8m) (see note 14) and is valued on a depreciated replacement cost basis. The Director ensure the assumption used in calculating this value are reviewed on a regular basis and consider the carrying value of the stadium at each reporting date.

4. Turnover

An analysis of turnover by class of business is as follows:

	2022 £000	2021 £000
Gate receipts & match day income	**4,741**	1,124
Centralised broadcasting & commercial distributions	**10,402**	48,434
Sponsorship, advertising & other commercial income	**4,739**	5,551
	19,882	55,109

All turnover arose within the United Kingdom.

5. Other operating income

	2022 £000	2021 £000
Furlough claim income	**23**	398
Profit on disposal of tangible fixed assets	**4**	3
Car Park Rental Income	**331**	-
	358	401

6. Operating loss

The operating loss is stated after (crediting)/charging:

	2022 £000	2021 £000
Rent receivable	**(36)**	(36)
Operating lease rentals	**556**	518
Amortisation of intangible assets	**7,142**	15,416
Impairment of player registrations	**350**	3,153
Depreciation charge of tangible fixed assets	**2,525**	2,571
Difference on foreign exchange	**4**	5

7. Auditors' remuneration

	2022 £000	2021 £000
Fees payable to the Company's auditor and its associates for the audit of the Company's annual financial statements	**64**	55

The Company has taken advantage of the exemption not to disclose amounts paid for non-audit services as these are disclosed in the group accounts of the parent Company.

8. Employees

Staff costs, including Directors' remuneration, were as follows:

	2022 £000	2021 £000
Wages and salaries	**25,977**	29,574
Social security costs	**3,109**	3,754
Cost of defined contribution scheme	**129**	169
	29,215	33,497

Included in the above is £22,213,000 (2021: £25,963,000) in respect of player related wages.

The average monthly number of employees, including the Directors, during the year was as follows:

	2022 No.	2021 No.
Players	**48**	49
Other staff	**130**	135
	178	184

9. Directors' remuneration

	2022 £000	2021 £000
Directors' emoluments	**82**	315
Compensation for loss of office as Director	**39**	98
Social security costs	**17**	56
Other benefits	**5**	81
	143	550

The highest paid Director received remuneration of £121,000 (2021: £413,000).

The value of the Company's contributions paid to a defined contribution pension scheme in respect of the highest paid Director amounted to £4,833 (2021: £15,000).

10. Interest receivable and similar income

	2022 £000	2021 £000
Bank interest receivable	1	1

11. Interest payable and similar expenses

	2022 £000	2021 £000
Related undertakings interest and associated withholding tax	**2,415**	1,254
Other interest payable	**-**	632
	2,415	1,886

12. Taxation

	2022 £000	2021 £000
Corporation tax		
Current tax on losses for the year	**-**	-
Total current tax	**-**	-
Deferred tax		
Origination and reversal of timing differences	**153**	-
Adjustments in respect of prior periods	**(153)**	-
Total deferred tax	**-**	-
Taxation on loss on ordinary activities	**-**	-

12. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year differs from the standard rate of corporation tax in the UK of 19% (2021: 19%). The differences are explained below:

	2022 £000	2021 £000
Loss on ordinary activities before tax	**(30,419)**	(11,007)
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2021: 19%)	**(5,779)**	(2,091)
Effects of:		
Expenses not deductible for tax purposes	**710**	96
Fixed asset differences	**424**	427
Income not taxable for tax purposes	**(95)**	-
Other permanent differences	**38**	55
Adjustments to tax charge in respect of previous periods - deferred tax	**(153)**	-
Deferred tax relating to other comprehensive income	**-**	(812)
Deferred tax not recognised	**6,340**	11,955
Remeasurement of deferred tax for changes in tax rates	**(1,485)**	(9,630)
Total tax charge for the year	**-**	-

A deferred tax liability of £3.4m (2021: £3.4m) has been recognised in respect of the potential chargeable gain based on the revaluation of the stadium. The assets and liabilities are not offset as the Company does not intend to realise the asset and settle the liability at the same time. The increase in the deferred tax liability solely relates to the change in future tax rates.

A further potential deferred tax asset exists at the reporting date in respect of additional tax losses carried forward. The potential deferred tax asset offsets a deferred tax liability in respect of fixed asset timing differences (other than the chargeable gain). This has not been recognised in the financial statements as there is insufficient evidence that the overall asset will be recoverable. Tax losses carried forward at the reporting date were £204m (2021: £177m). No deferred tax asset has been recognised in respect of these losses.

13. Intangible assets

	Player registrations £000
Cost	
At 1 June 2021	**54,835**
Additions	**1,035**
Disposals	**(14,581)**
At 31 May 2022	**41,289**
Amortisation	
At 1 June 2021	**44,328**
Charge for the year - amortisation	**7,142**
Disposals	**(13,052)**
Charge for the year - impairment	**350**
At 31 May 2022	**38,768**
Net book value	
At 31 May 2022	**2,521**
At 31 May 2021	10,507

Amortisation of £7,142,000 (2021: £15,416,000) and impairment of £350,000 (2021: £3,153,000) have been charged and included as part of administration expenses in the Statement of Comprehensive Income as disclosed in note 2.13.

The average remaining amortisation period per player contract as at 31 May 2022 is 11 months (2021: 11 months).

14. Tangible fixed assets

	Cardiff City Stadium £000	Training ground improvements £000	Motor vehicles £000	Fixtures and equipment £000	Total £000
Cost or valuation					
At 1 June 2021	**85,321**	**1,129**	**10**	**3,556**	**90,016**
Additions	**106**	**-**	**-**	**57**	**163**
Disposals	**-**	**-**	**-**	**(35)**	**(35)**
At 31 May 2022	**85,427**	**1,129**	**10**	**3,578**	**90,144**
Depreciation					
At 1 June 2021	**6,551**	**854**	**8**	**2,622**	**10,035**
Charge for the year	**2,214**	**37**	**1**	**273**	**2,525**
Disposals	**-**	**-**	**-**	**(25)**	**(25)**
At 31 May 2022	**8,765**	**891**	**9**	**2,870**	**12,535**
Net book value					
At 31 May 2022	**76,662**	**238**	**1**	**708**	**77,609**
At 31 May 2021	78,770	275	2	934	79,981

Cardiff City Stadium land is held on a 150-year lease from Cardiff City Council which commenced in September 2009. Cardiff City Council provided a capital contribution towards the cost of the new stadium project. The capital contribution is secured by way of first charge over Cardiff City Stadium leasehold property.

As at 31 May 2018 the Company sought professional advice from Savills (UK) Limited (RICS registered valuers) as to the valuation of the stadium at the year-end date and were advised that the carrying value based on a depreciated replacement cost basis equated to £83,500,000, an increase of £29,253,000 from the previous carrying value.

Management have identified no indicators of impairment and for key judgment to include consideration of replacement cost.

14. Tangible fixed assets (continued)

If the land and buildings had not been included at valuation they would have been included under the historical cost convention as follows:

	2022 £000	2021 Amended £000
Cost	**43,179**	43,073
Accumulated depreciation	**(11,406)**	(10,287)
Net book value	**31,773**	32,786

15. Stocks

	2022 £000	2021 £000
Stocks	**80**	216

16. Debtors

	2022 £000	2021 £000
Due after more than one year		
Football receivables	**2,268**	537

	2022 £000	2021 £000
Due within one year		
Trade debtors	**223**	661
Football receivables	**2,427**	6,568
Amounts owed by group undertakings	**28,482**	6,814
Other debtors	**623**	466
Prepayments and accrued income	**1,970**	646
	33,725	15,155

Amounts owed by group undertakings are unsecured, interest free and repayable on demand.

17. Creditors: amounts falling due within one year

	2022 £000	2021 £000
Other loans	**4,028**	8,652
Loans from shareholders and connected parties	**73,041**	60,970
Loans from directors and other connected parties	**25,800**	20,800
Trade creditors	**987**	754
Football payables	**832**	500
Amounts owed to group undertakings	**144,558**	113,011
Other taxation and social security	**1,698**	2,919
Other creditors	**557**	2,459
Accruals and deferred income	**11,971**	12,076
	263,472	222,141

Loans from shareholders and connected parties

	Majority Shareholder £000	Connected to Majority Shareholder £000	Total £000
At 1 June 2021	**59,164**	**1,806**	**60,970**
Received in the year	**19,802**	**-**	**19,802**
Repaid in the year	**(589)**	**(500)**	**(1,089)**
Share Issue	**(6,642)**	**-**	**(6,642)**
At 31 May 2022	**71,735**	**1,306**	**73,041**

£19,000,000 of the advanced monies from the majority shareholder was subsequently converted into equity by the share issue completed in June 2022.

17. Creditors: amounts falling due within one year (continued)

The loan from the majority shareholder is comprised as follows:

	2022 £000	2021 £000
Interest bearing with conversion rights	**51,238**	38,667
Non-interest bearing without conversion rights	**20,497**	20,497
	71,735	59,164

The key terms of the interest-bearing loan with conversion rights are:

- interest accrues at an annual rate of 7%.
- the loans are secured by way of a charge over the assets and undertaking of the principal trading company of the Company.
- the lender has the right to convert such loans, including accrued interest, into equity at any time, at a fixed conversion price of 15.69 pence per share.

The key terms of the non-interest-bearing loan without conversion rights is:

- the loans are secured by way of a charge over the assets and undertaking of the principal trading company within the Company.

Loans from directors and connected parties

	Directors £000	Parties Connected to Directors £000	Total £000
At 1 June 2021	**5,000**	**15,800**	**20,800**
Received in the year	**-**	**5,000**	**5,000**
Repaid in the year	**-**	**-**	**-**
	5,000	**20,800**	**25,800**

Included in Director loans are:

- a £3m loan (2021: £3m) from U-Peng Tan, the son of the ultimate controlling party, which has the same terms and conditions as the shareholder loans described above.
- a loan from a director of £2,000,000 carrying interest at 9% per annum.

Included in connected parties:

- a loan of £20,800,000 from Tormen Finance Inc, a company in which a director of the Company has significant influence over, which bear interest at 9% per annum.

17. Creditors: amounts falling due within one year (continued)

Other loans

Due within one year

	2022 £000	2021 £000
Deferred player proceeds	**1,251**	5,875
EFL	**2,777**	2,777
	4,028	8,652

Due more than one year

	2022 £000	2021 £000
Deferred player proceeds	**1,375**	-
EFL	**2,776**	3,471
	4,151	3,471

Amounts due as deferred player proceeds are secured on the equivalent deferred player proceeds included within football receivables in note 16. Amounts secured on future revenue streams paid directly from the third party (EPL) to the counterparty are non-cash items for the purposes of the statement of cash flows.

The EFL loan relates to the outstanding balance payable on an interest free loan taken out in the prior year. The loan is repayable in 4 equal half yearly instalments.

Shareholder loans of £6,642,000 have been assigned to the parent company in settlement of the share issue undertaken during the year.

Amounts owed to group undertakings are interest free and repayable on demand.

18. Creditors: amounts falling due after more than one year

	2022 £000	2021 £000
Other loans	**4,151**	3,471
Football payables	**297**	400
	4,448	3,871

19. Financial instruments

	2022 £000	2021 £000
Financial assets		
Financial assets measured at fair value through profit or loss	**3,613**	1,765
Financial assets that are debt instruments measured at amortised cost	**34,612**	15,258
	38,225	17,023
Financial liabilities		
Financial liabilities measured at amortised cost	**(263,530)**	(223,035)

Financial assets measured at fair value through profit or loss comprise cash at bank and in hand.

Financial assets that are debt instruments measured at amortised cost comprise trade debtors, amounts owed by group undertakings, other debtors and accrued income.

Financial liabilities measured at amortised cost comprise loans, trade creditors, amounts owed to group undertakings, other creditors and accruals.

20. Deferred taxation liability

	2022 £000
At beginning of year	**(3,385)**
Charged to the Statement of Comprehensive Income	**-**
At end of year	**(3,385)**

The provision for deferred taxation is made up as follows:

	2022 £000	2021 £000
Revaluation of property	**(3,385)**	(3,385)

21. Provisions

	Other provisions £000
At 1 June 2021	**20,540**
Charged to the Statement of Comprehensive Income	**166**
At 31 May 2022	**20,706**

22. Share capital

	2022 £000	2021 £000
Allotted, called up and fully paid		
4,032,008 Ordinary shares of £0.50 each	**2,016**	2,016

23. Reserves

Share premium account

This reserve records the excess paid on shares issued.

Revaluation reserve

This reserve records the historical revaluations net of related deferred tax.

Profit and loss account

This reserve records retained earnings and accumulated losses.

24. Contingent liabilities

The Company has commitments under player registration transfer contracts with other football clubs to pay up to £4,900,000 (2021: £5,916,000) which are conditional upon one or more future events. Given that such future events are not yet considered probable, no provision has been made for these amounts in these financial statements.

The claim made against a subsidiary company in a prior year was settled during the year at no direct cost to the subsidiary Company. Under the terms of the settlement a contingent liability exists which may become payable under certain circumstances.

The contingent liability at 31st May 2022 is £1,500,000 and at the date of signing of these financial statements is £Nil.

The dispute with Nantes around the transfer of Emiliano Sala is ongoing and has progressed over the last year. Following the ruling by Court of Arbitration for Sport (CAS) in August 2022 and the subsequent imposition of the transfer embargo by FIFA and the EFL the Club has now paid the 1st instalment of the transfer fee of Euro7m.

We are currently awaiting on a ruling from the Swiss Federal Court (SFC) in respect of our appeal against the CAS ruling referred to above that the ruling should be referred back to CAS for re-adjudication. The outcome of this ruling will determine the next steps that we as a board will take over the matter of the remaining transfer fee and action(s) against Nantes and their agents and our insurers at that time.

Due to the ongoing uncertainties the Directors have maintained the provision made in the accounts should the appeal be unsuccessful.

25. Pension commitments

The Company operates a defined contributions pension scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The pension cost charge represents contributions payable by the Company to the fund and amounted to £129,214 (2021: £169,000). Contributions totalling £23,000 (2021: £33,000) were payable to the fund at the reporting date and are included in creditors.

26. Commitments under operating leases

At 31 May 2022 the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	2022 £000	2021 £000
Not later than 1 year	**556**	543
Later than 1 year and not later than 5 years	**1,444**	1,740
Later than 5 years	**23**	247
	2,023	2,530

27. Related party transactions

The Company has taken exemption under FRS 102 section 33.1A from disclosing transactions with Company companies, on the grounds that each company party to the transactions is wholly owned within the group.

Transactions with related parties

During the year the Company received loan advances from a director of £Nil (2021: £2,000,000), which was unpaid at year end. The interest charged in the year amounted to £175,000 (2021: £148,000).

During the year the Company traded with the following companies which have one or more directors in common:

CMB Company of Companies - net purchases of £2,000 (2021: £4,000) in respect of engineering and maintenance services, year-end creditor £7,000 (2021: £3,000 creditor).

Cardiff City House of Sport Limited - net purchases of £76,000 (2021: £141,000) in respect of the hire of facilities, year-end debtor £1,000 (2021: £nil).

HR Owen plc - net sales of £123,000 (2021: £313,000) in respect of sales of match tickets and advertising and purchases of transportation services provided during the year, year-end debtor £nil (2021: £360,000).

Cardiff City FC Foundation - net purchases of £140,000 (2021: £176,000) in respect of charitable activity, year-end creditor £nil (2021: £nil).

Other related party transactions

During the year the Company traded with WMG Funds Limited, a company in which a director of Cardiff City Football Club Limited has significant influence over - net purchases of £270,000 (2021: £297,000) in respect of professional services rendered, year-end creditor of £nil (2021: £126,000).

During the year the Company traded with and borrowed from entities in which a director of Cardiff City Football Club Limited has significant influence over:

Tormen Finance Inc. – charged interest amounting to £1,727,000 (2021: £886,000) on loans detailed in Note 17. Interest paid during the year was paid to Tormen Finance Inc and other related parties on behalf of Tormen Finance Inc.

Tormen Finance Inc. - net purchases of £nil (2021: £25,000) in respect of consultation services.

During the year the Company has made a £3,700,000 (2021: £nil) provision against loans advanced to controlled subsidiaries.

28. Post balance sheet events

Subsequent to the year end and prior to signing of these financial statements, the Group has acquired player registrations totalling £5,364,000 of which £Nil is contingent upon one or more future events. These have been funded by additional shareholder loans.

Subsequent to the year end and at the time of signing of these financial statements, the Group has received funding of £24,400,000 on interest rates up to 9% per annum.

On 23rd June 2022, the Parent Company, Cardiff City Football Club (Holdings) Limited, issued an open offer to qualifying shareholders being those holding more than 100,000 ordinary shares to apply for 1.191 new A ordinary shares for every 1 existing ordinary share held.

The majority shareholder, Tan Sri Vincent Tan, subsequently subscribed to the offer and the Parent Company issued 1,900,000,000 A ordinary shares under the open offer. Tan Sri Vincent Tan having converted £19,000,000 of his existing shareholder loans into equity on payment for such shares as have been issued. As a result, shareholder loans of £19,000,000 were assigned to the Parent Company.

No other qualifying shareholders exercised their rights under the open offer to subscribe for the new shares.

29. Controlling party

The immediate and ultimate parent company throughout the current and previous period is considered to be Cardiff City Football Club (Holdings) Limited due to its majority shareholding in the Company. The ultimate controlling party is considered to be Tan Sri Dato' Seri Vincent Tan Chee Yioun due to his majority shareholding in Cardiff City Football Club (Holdings) Limited, whose registered address is Cardiff City Stadium, Leckwith Road, Cardiff, CF11 8AZ.

The smallest and largest group which includes the Company for which consolidated company accounts are prepared is Cardiff City Football Club (Holdings) Limited.